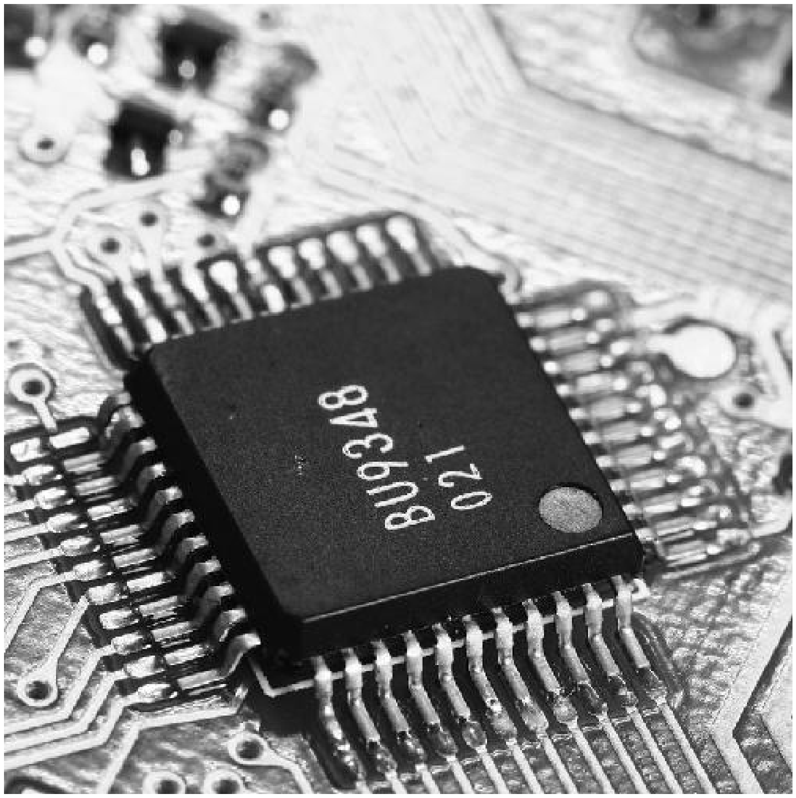
Technology



Technological change is critical to raising living standards over the long run. Improvements in technology allow a greater volume and variety of goods to be produced, although some worry that new technology causes unemployment if mechanization makes labour obsolete. In fact, by making each worker more productive, technology can increase the demand for labour. It can even create entirely new sectors of the economy, bringing with them new employment opportunities.

Some ‘general purpose technologies’, such as electricity, are revolutionary: they raise the productivity of every sector of the economy. Other kinds of technological improvement – for example, more efficient ovens – raise productivity in specific sectors. The introduction of a new general purpose technology is a leap that fundamentally transforms economies and can lead to new patterns of economic growth. In the 18th and 19th centuries that leap arose from steam power, while today it is coming from information and communication technologies.